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OLG chapter

1 message

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Sat, Apr 25, 2026 at 11:00 AM

Dear Tom,

I am done with the OLG chapter. Besides dotting the i's and crossing the t's when changing to the same timing as in chapter 9 (the economy starts in period 0), it was a lot of fun going down different paths.

The attached pdf file includes a new appendix and a revamped subsection on "Population growth". (The latter one makes a bigger point of your observation on how steady-state returns change.) These additions are marked in yellow as well as other passages where you might want to refine new formulations and where substantive changes have been made.

I have not touched the Introduction or Concluding remarks, except for adding one sentence to the former one.

There are some concerns about the figures. For example, the depicted steps in Figure 10.3.2 do not square with how we construct nonstationary equilibria in the text. In Figure 10.7.2, y_t^t on the horizontal axis is misplaced. If you have the codes for drawing those figures, I could fix them.

Speaking about figures, please replace your present version of OLG_growth.eps with the attached new version (that has been modified so that it can also be used and reinterpreted in the new appendix).

You have custody of everything.

This has been a very pleasant semester at Wharton but I'll be leaving on Friday to return to Sweden.

Lars

3 attachments

OLG_rev_black8_ver12_lars.pdf
444K

OLG_growth.eps
141K

black8_ver12_lars.tex
200K